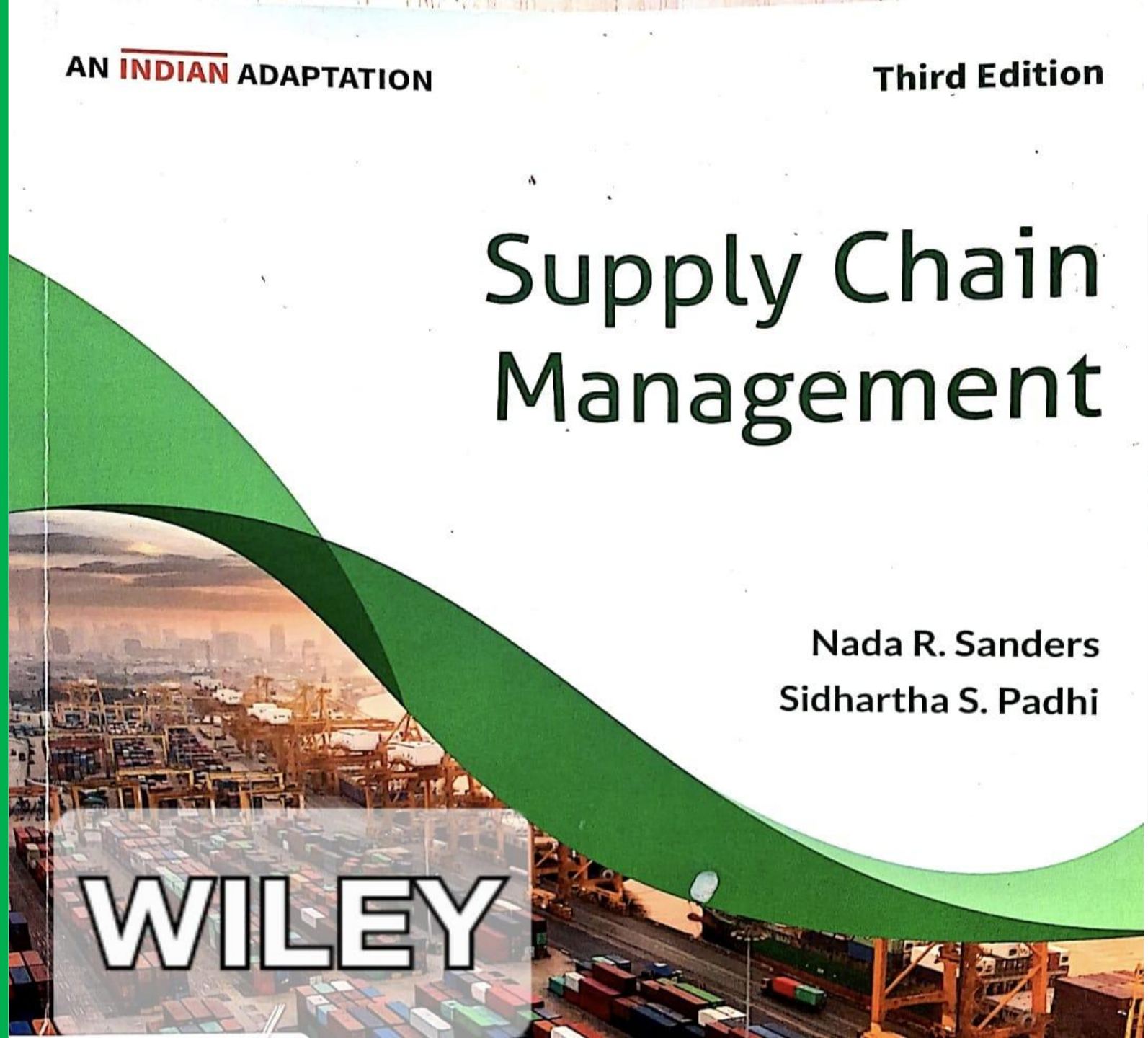
AN INDIAN ADAPTATION
Third Edition
Supply Chain Management
Nada R. Sanders
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WILEY

SCM
SUPPLY CHAIN MANAGEMENT
PROFIT
ANALYSIS
MANAGEMENT
MANUFACTURING
TIME TO MARKET
DISTRIBUTION
PLAN
PROCUREMENT
LOGISTIC

SUBJECT: ***SUPPLY CHAIN MANAGEMENT STRATEGY***

CHAPTER: ***04***

CHAPTER TITLE: ***MARKETING***

REFERENCE BOOK:

SUPPLY CHAIN MANAGEMENT (AN INDIAN ADAPTATION), N R SANDERS & S S PADHI, WILEY, 3RD ED. (2023)

Section-A

What is marketing?

- Marketing is the function responsible for linking the organization to its customers and is concerned with the downstream part of the supply chain.
- The task for marketing is to identify what customers need and want, create demand for a company's current and new products, and continue to identify market opportunities.
- Marketing plays a critical role, as providing value to customers drives all actions of the organization and the supply chain.
- For an organisation and its supply chain to be competitive, they must be better than competitors at meeting customer needs.

Example:

•A mobile company studies customer demand for better battery life and camera quality and then develops new smartphone models to meet those needs.

•A food delivery company identifies demand for fast delivery and improves logistics systems.

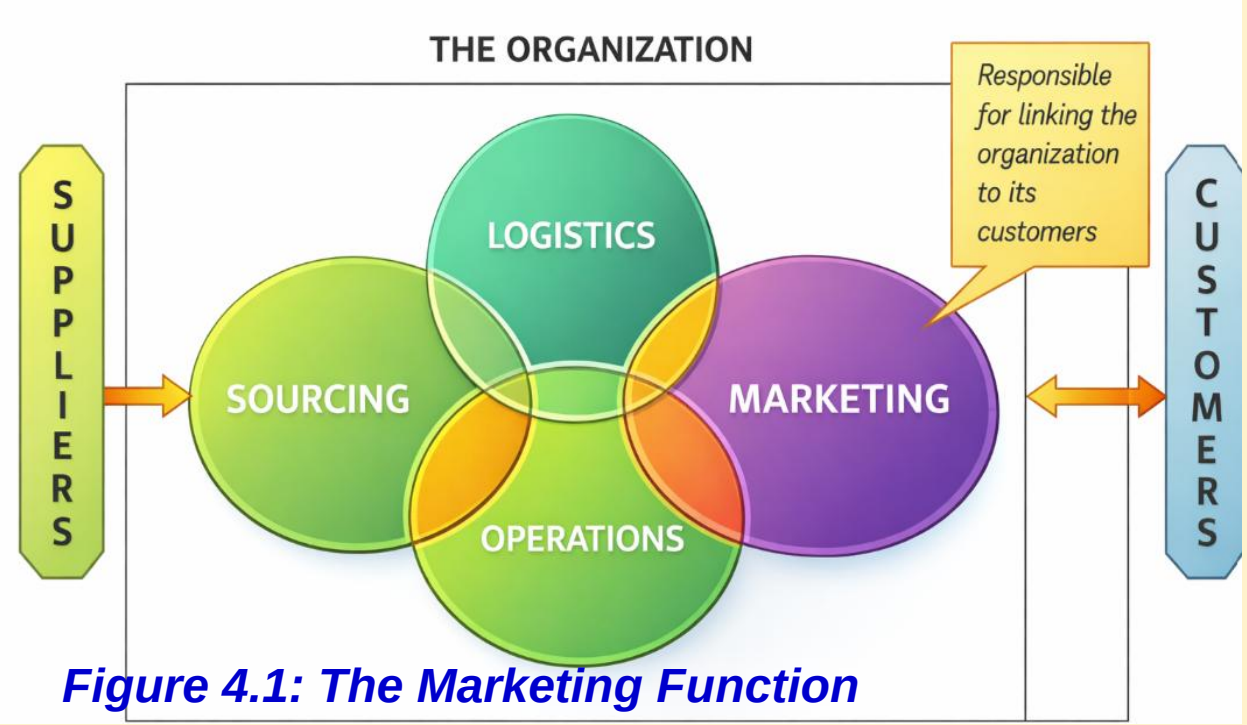


Figure 4.1: The Marketing Function

The figure shows four major organisational functions:

•**Sourcing** → Obtaining raw materials and inputs from suppliers

•**Operations** → Converting inputs into finished products

•**Logistics** → Storing and delivering products

•**Marketing** → Responsible for linking the organisation to customers

Marketing connects internal activities with **customers**, while sourcing connects with **suppliers**.

Cont…

Examples of Each Function in the Diagram:

Suppliers → Sourcing

Example: A car company purchases steel, tyres, and electronic components from suppliers.

Sourcing → Operations

Example: Raw materials are sent to factories where cars are assembled.

Operations → Logistics

Example: Finished cars are transported to warehouses and dealers.

Marketing → Customers (Most Important Link)

Example:

- Advertising new car features
- Identifying customer preferences (fuel efficiency, design)
- Setting prices and promotions
- Managing customer relationships

Key Insight from Figure:

Marketing does not work in isolation — it must coordinate with sourcing, operations, and logistics to effectively meet customer needs.

Cont…

- Marketing is responsible for identifying customer needs, determining how to create value for customers, and building strong customer relationships.
- Marketing is a far more complex function than it may appear, as customers are driven by much more than their basic needs for products and services.
- The key is to understand and develop the combination of products and services that precisely meet the expectations for a particular set of customers.

Examples:

•Fashion retailers track customer trends and quickly introduce new clothing styles.

•Automobile companies offer customization options based on customer preferences.

•Online platforms use customer data to recommend products.

Note: Marketing decisions influence production planning, inventory levels, and distribution, making it a crucial part of supply chain coordination.

Market Segmentation in the Marketing Function

- Market segmentation is the process of dividing customers into groups with similar needs or characteristics.

Examples:

- Automobile companies segment customers into economy, luxury, and sports segments.

Clothing brands segment their markets by age groups, such as children, youth, and adults.

Note: Segmentation helps firms understand differences in customer preferences and design appropriate supply chain strategies.

Target Marketing in the Marketing Function

Target marketing involves selecting specific segments to serve and designing products and marketing strategies for them.

Examples:

- A company targeting young consumers with affordable smartphones.
- A premium brand targeting high-income customers with luxury products.

Impact on the Supply Chain

- Marketing plays an important role in shaping supply chain activities by creating demand and communicating customer requirements to the organisation.
- Marketing decisions regarding product, price, promotion, and place directly affect supply chain functions such as sourcing, operations, inventory management, and logistics. Therefore, coordination between marketing and supply chain functions is essential to effectively meet customer needs and achieve a competitive advantage.

Impact of the 4Ps on Supply Chain

1. Product: Product design, variety, and features determine raw materials, production processes, and inventory requirements. [Example: A company introducing multiple smartphone models requires different components, suppliers, and an inventory management system].

2. Price: Pricing decisions influence demand levels and purchasing patterns, which affect production planning and inventory levels. [Example: Discount pricing during festivals increases demand, requiring higher stock and faster replenishment].

3. Promotion: Promotional campaigns create demand fluctuations that require supply chains to respond quickly. [Example: A “Buy One Get One Free” offer increases demand, requiring additional stock and transportation capacity].

4. Place (Distribution): Distribution decisions determine channel structure, warehouse locations, and transportation systems. [Example: Offering one-day delivery requires warehouses closer to customers and efficient logistics networks.]

Key Insight: Marketing decisions determine what to produce, how much to produce, and where to deliver, thereby guiding the entire supply chain.

Section-B

Customer-Driven Supply Chains

Today's economy is characterised by a shift in power from companies to customers, with customers as the dominant force. Customers now expect to receive the products they want, when they want them, at a low price.

That is..

- Customers demand customisation
- Customers expect fast delivery
- Customers compare many alternatives
- Loyalty must be earned

Example:

Amazon provides same-day delivery because customers expect speed and convenience.

The focus on the customer has required supply chain companies to work together to deliver more value to customers than competing supply chains.

That is..

- Not individual firms competing
- Entire supply chains compete
- Collaboration is necessary

Example:

Walmart + P&G work together to reduce stockouts and improve availability.

1. Who is the Customer?

Most people assume the term "customer" refers to the final customer or consumer. However, the concept of supply chain management requires a careful understanding of the term "customer."

Types of customers:

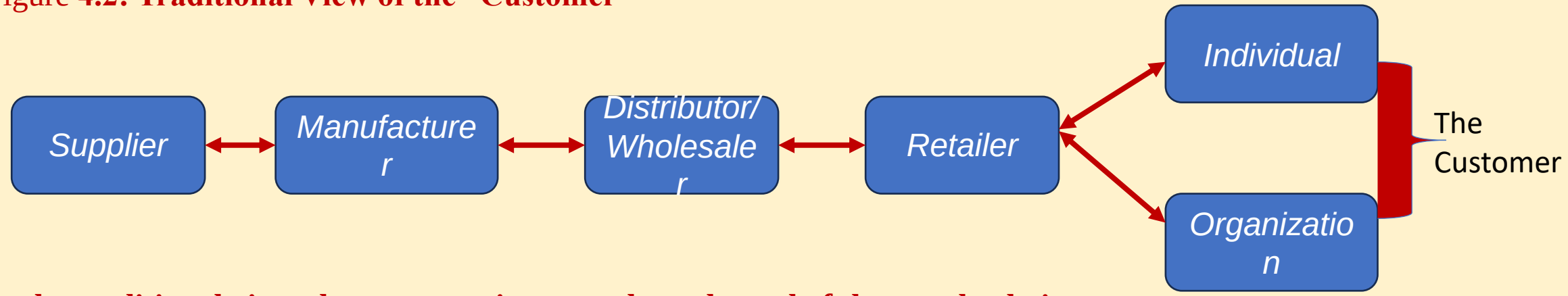
1. **End Consumer: It could be an individual or a household that purchases products and services to satisfy personal needs.**

Example: A family buying groceries from a retail store.

2. Organisational End User: purchases are made by an organisation or institution for employees to perform their jobs in the organisation

Example: A hospital is purchasing medical supplies

Figure **4.2: Traditional View of the "Customer"**



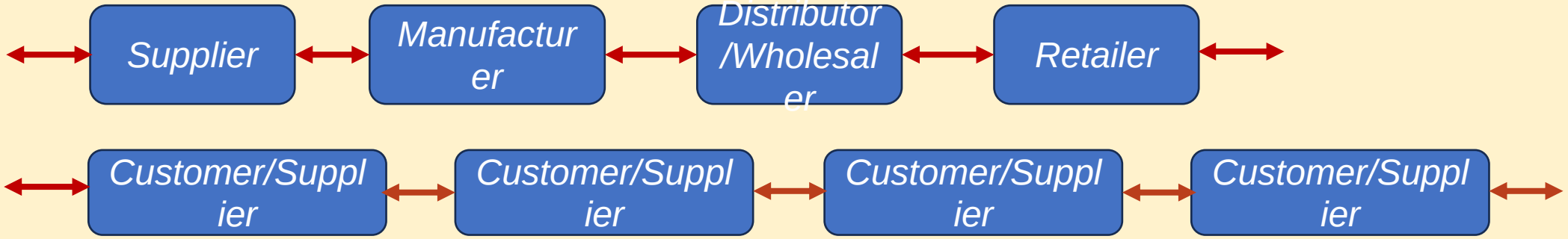
In the traditional view, the customer is seen only at the end of the supply chain.

- The supply chain flows in one direction.
- Each member focuses only on selling to the next stage.
- The final consumer is considered the only real customer.
- Intermediate members are not viewed as customers.
- This view treats supply chain activities as isolated functions rather than integrated relationships.

Example:

- A **manufacturer** produces detergent.
- It sells to a **distributor**.
- Distributor sells to a **retailer**.
- Retailer sells to the **final consumer**.
- In this traditional model, the manufacturer sees only the distributor as a buyer.
- The final consumer is considered the only true "customer."

Figure 4.3: Every Supply Chain Member is Both a Supplier and Customer:



Every organisation in the supply chain is both a customer and a supplier to someone else.

- The manufacturer is a **customer** of the supplier; The distributor is a **customer** of the manufacturer; The retailer is a **customer** of the distributor.
- Each member supplies the next stage and receives from the previous stage.
- From an SCM perspective, A customer is at any delivery location, not necessarily the last location in the supply chain.

Example: Wal-Mart sells Tide detergent to the final customer. Procter & Gamble (P&G) supplies Tide to Wal-Mart. P&G receives chemicals and plastics from its suppliers.

Here: Wal-Mart is a customer of P&G. P&G is a customer of chemical suppliers. Each entity is both supplier and customer.

- Even within the same company: A warehouse may consider a retail store as its customer.

2. Types of customer relationships

- The traditional marketing approach has been to pursue a strategy of increasing customer transactions to boost revenues and profits. This is **transactional marketing**. It focuses on a short-term increase in transaction volume. It does not focus on long-term alliances.
- Three of the most common strategies used to satisfy customers in various target markets are:

1. **Standardised Strategy:** All customers are viewed in the same way. It provides minimal product customisation.

Features:

- One-size-fits-all
- Low cost
- High efficiency

Example: Tylenol was historically available only as a standard pain reliever.

Advantage: Lower cost production

Disadvantage: May not satisfy individual needs

Cont…

2. Customised Strategy: **It is a differentiated strategy that capitalises** on information that comes from market segmentation and target markets.

Features:

- Different versions of products
- Higher complexity
- Higher cost

Example: Coca-Cola's "Share a Coke" campaign – bottles with popular names.

Note: **Encouraged customers to find their name and share on social media.**

3. Niche Strategy: It is a strategy that targets only one segment of the overall market by offering very precise products that specifically meet customer needs.

Features:

- Focus on small segment
- High specialization
- Higher price

Example: Speciality retail stores, such as maternity clothes or suits for tall women.

Managing Customers Using Customer Relationship Management (CRM)

- **CRM involves managing long-term relationships between the company and its customers to improve profitability.**
- To keep customers coming back, firms must offer distinctive capabilities that provide value to customers.
- **CRM uses automated customer transactions to gather data and customise communication**.
- This data is captured through suites of software modules that are part of larger enterprise resource planning (ERP) systems.
- The advantage of CRM is that **it provides information that aids market segmentation and helps to predict customer behaviour and create customised customer communication**.

Example:

American Airlines uses CRM applications to precisely identify its most profitable customers. This information is then used to build strong customer relationships.

- One example might be sending a personalised text message to a highly valued customer that their planned flight is going to be delayed.

Section-C

Delivering Value to Customers

- The central focus of supply chain management is to create value for customers. **Value is created when a company understands what customers need and delivers products or services that satisfy those needs efficiently**.
- Companies cannot create value unless they clearly understand customer expectations, preferences, and perceptions of quality.
- **Delivering value requires:**

  Understanding customer requirements

  Designing products and services accordingly

  Ensuring reliable delivery and service support
- **Example:**

Amazon creates customer value by providing fast delivery, easy returns, and accurate order tracking, which improves customer satisfaction.

1. Voice of the Customer (VOC)

- **Voice of the Customer (VOC) refers to the process of capturing customer needs, expectations, and preferences**.
- Customers often express their requirements in general terms, such as: **Attractive, Durable, Safe, and Affordable**
- These statements must be translated into specific product or service characteristics.

VOC helps organisations:

- Understand customer expectations; Identify drivers of customer value; Design products that match customer needs

Types of Customer needs:

1. Basic Needs: Minimum requirements expected by customers. If these are not met, customers become dissatisfied.

2. Performance Needs: Features that directly influence customer satisfaction. Better performance increases satisfaction.

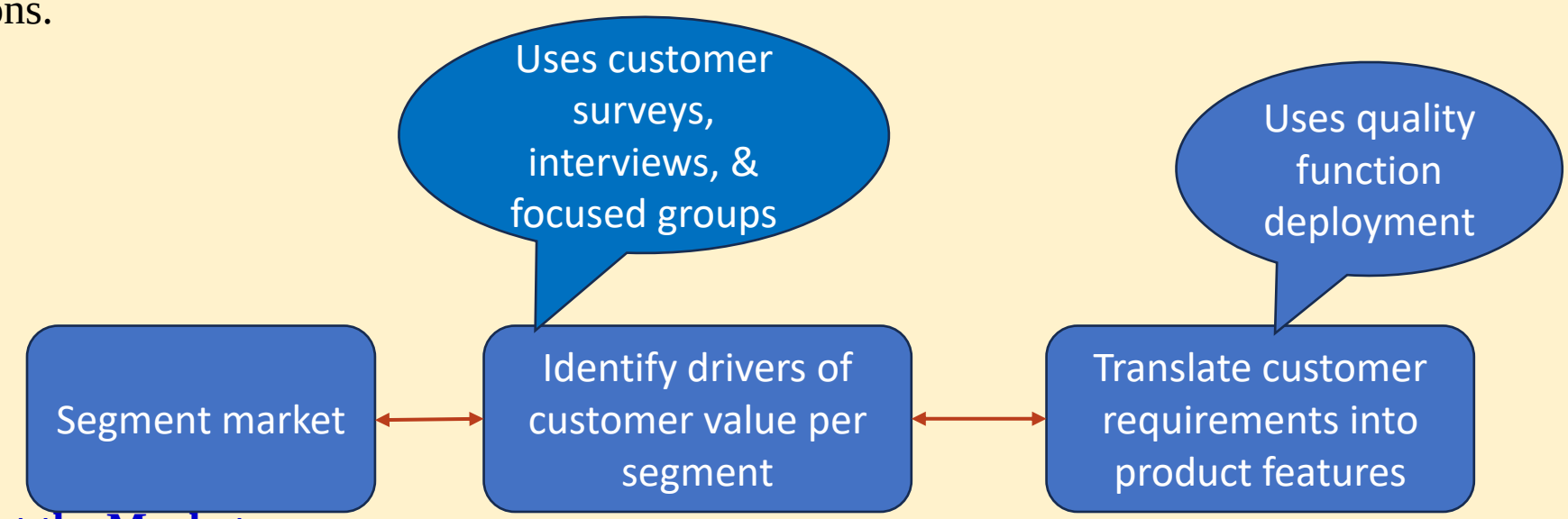
3. Excitement Needs: Unexpected features that delight customers and exceed expectations.

Example: For a laptop bag:

- Basic need: Protect the laptop
- Performance need: Durable material
- Excitement need: Extra compartments or stylish design

Figure 4.4: Translating the voice of the customer

It illustrates the **process through which organizations convert customer needs into specific product features**. The figure explains how companies move from understanding what customers want to designing products that satisfy those expectations.



1. Segment the Market

- The first step is to **divide customers into different market segments** based on their characteristics, such as demographics, purchasing behaviour, location, or product usage.
- Different customer groups often have **different expectations and preferences,** so companies must understand these variations before designing products.

Example: In the laptop bag market, Students may prefer **low-cost and lightweight bags**. Business professionals may prefer **durable and stylish bags**. Segmenting the market helps companies focus on **specific customer groups and their unique needs.**

2. Identify Drivers of Customer Value for Each Segment

- After identifying market segments, companies determine the key factors that create value for customers in each segment.
- These drivers are identified through market research tools such as: **Customer surveys, Interviews and Focus groups**
- These methods help **companies understand what customers consider important when purchasing a product.**

Example: Customers buying a laptop bag may value: Low price, Attractive design, Durability, and Spacious compartments

3. Translate Customer Requirements into Product Features

- Once customer needs are identified, the next step is to **translate these needs into specific technical product characteristics.**
- This translation is done using **Quality Function Deployment (QFD)**, a structured tool that connects customer requirements with engineering or product design specifications.
- Through this process, companies ensure that the **final product design reflects customer expectations**.

Example:

- Customer requirement: Rugged laptop bag (Product feature: High-strength material and reinforced stitching)
- Customer requirement: Roomy bag (Product feature: Additional compartments and larger storage capacity)

2. What is Customer Service?

Modern customers expect:

- High product quality
- Competitive prices
- Reliable delivery
- Responsive service

Although companies try to compete on product quality and price, these factors can often be easily copied by competitors.

Therefore, **one important dimension that can provide a sustainable competitive advantage is customer service.**

- Customer service can be defined as a **process of enhancing the level of customer satisfaction** by meeting or exceeding customer expectations.
- **It also helps both the firm and the supply chain gain a competitive advantage by maximising the total value delivered to the final customer.**
- Because of its importance, many organisations consider customer service as the driving force of their supply chains.

Example: Zappos built a strong brand reputation mainly through **exceptional customer service and easy returns**.

Three Views of Customer Service

Customer service can be viewed in three distinct ways, each requiring increasing levels of organisational commitment.

1. Customer Service as an Activity: A set of activities that a company performs to satisfy customers.

These activities include: Billing and invoicing; Processing product returns; and Handling customer complaints

- Companies with this view believe that as long as these activities are performed properly, they are fulfilling their customer service obligations.

Example: Accepting product returns in a retail store does not enhance the customer experience; rather, it indicates that the product did not meet expectations.

2. Customer Service as a Set of Performance Measures: It is used to measure how well a company is serving its customers.

Examples of such performance measures include:

- Percentage of orders delivered on time
- Order cycle time
- Number of orders processed within acceptable limits
- Accuracy of order fulfilment

Under this approach, a company assumes it has met its customer service goals if these performance standards are achieved.

3. Customer Service as a Philosophy:

The third and most advanced perspective considers customer service as a company-wide philosophy.

Under this view:

- The entire organisation is committed to serving customers effectively.
- All business decisions are made with the goal of improving customer satisfaction.
- Customer service becomes part of the organisational culture.

This approach aligns with modern quality management practices, in which every department works together to deliver superior value to customers.

Companies that adopt this philosophy often achieve strong competitive advantages and higher customer loyalty.

3. Impact on the Supply chain

- **Customer service excellence can provide a major competitive advantage, but achieving high service levels requires commitment across the entire supply chain**. Improving customer service can also increase operational costs, so supply chain managers must balance the benefits of improved service levels with the associated costs.

For example, A retailer may request faster deliveries from suppliers. The supplier may choose air transportation instead of truck transport to reduce delivery time. However, air transport is significantly more expensive.

- **Although faster delivery may reduce customer inventory costs, it increases transportation expenses, forcing managers to find an optimal balance between service and cost.**

Customer service affects supply chains across four major dimensions:

1. Time: Time refers to the **speed at which a company responds to customer requests**.

From a supply chain perspective, this includes the **order cycle time**, which is the time required to **complete and deliver an order to the customer**.

Effective logistics operations control key processes such as **Order processing, Order preparation and Shipment**

Companies that manage these activities efficiently can ensure that **orders are delivered quickly and reliably**.

Example: Companies offering **same-day or next-day delivery** compete primarily on time

Cont…

2. Dependability: Dependability refers to consistently meeting the promises made to customers, including delivery times and product quality.

- For some customers, dependability may be more important than speed.
- **For example,** a company might prefer a longer but consistent delivery time rather than a shorter delivery time that frequently fluctuates.

Reliable delivery schedules allow companies to: Reduce safety stock, Plan production more effectively and Lower inventory costs

3. Communication: It refers to providing timely and accurate information to customers throughout the order process.

- **Modern supply chains use information technology systems such as:** Electronic Data Interchange (EDI); Integrated tracking systems, and Online order tracking
- These technologies allow companies to: Monitor order status, Share shipment updates, Reduce errors in information flow and Effective communication improves transparency and customer trust.

4. Convenience: It refers to making it easier for customers to do business with the company.

- Customers may have different requirements regarding: Delivery methods, Packaging, Order sizes, Transportation modes

For example:

- Some customers may prefer palletised shipments.
- Others may require individual package deliveries.

Supply chains must be flexible enough to accommodate these varying needs. Companies often address these differences by segmenting customers and designing service levels accordingly.

Measuring Customer Service

- **Developing and measuring customer service performance standards is essential for monitoring how effectively a company meets its service objectives.**
- **Measurement allows organisations to: Evaluate operational performance, Identify service problems and Compare performance with industry competitors**
- Historically, companies measured performance primarily from the supplier's perspective, focusing on activities before shipment. However, modern customer service measurement emphasises the customer's perspective, focusing on the experience after delivery.

Supplier-Oriented vs Customer-Oriented Standards

Supplier-Oriented Standards

- These standards measure performance from the supplier's operational perspective.

Examples include:

- Orders shipped on time
- Orders shipped complete
- Orders shipped damage-free
- Order preparation time

Although useful for internal management, these measures **do not always reflect the actual customer experience**.

Customer-Oriented Standards

- Customer-oriented standards focus on what the customer actually receives.

Examples include:

- Orders received on time
- Orders received are complete
- Orders received damage-free
- Orders filled accurately

These measures provide a **more accurate assessment** of customer satisfaction.

- For this reason, **many modern organisations prioritise customer-oriented performance metrics.**

Section-D

Channels of Distribution

Distribution channels determine how effectively a company can reach customers and deliver value.

What Are Channels of Distribution?

- A channel of distribution is the way products and services are passed from the manufacturer to the final consumer.
- It is made up of the entities involved in getting products and services to final consumers.
- This may include a variety of intermediary firms, including wholesalers, distributors, or retailers.
- Decisions regarding the distribution channel are critical to a company's success, as they are directly related to the organisation's ability to access the final customer.

Example: A farmer selling directly to consumers at a farmers' market is an example of a direct channel.

Direct and Indirect Channels

Direct Channel: It is a channel in which the transaction is made directly from the producer to the final consumer.

The manufacturer has the greatest control. However, the manufacturer's distribution costs are higher.

Example: Sale of jet aircraft by a manufacturer directly to the airline.

Indirect Channel: Indirect channels use intermediaries such as wholesalers and retailers. External distributors and agents assume much of the cost burden and risk. The manufacturer receives less revenue per unit but also carries lower risk.

Cont…(What Are Channels of Distribution?)

Examples of Indirect channel:

- A company manufacturing packaged food products sells in bulk to a wholesaler.
- The wholesaler supplies goods to retail stores (supermarkets).
- Customers purchase the product from the retail store.
- Here, the manufacturer does not sell directly to the final consumer — intermediaries are involved. Therefore, it is an indirect channel.

No "Best" Distribution Structure

- There is no "best" distribution structure.
- The best distribution channel structure varies by the nature of the product and the market.

It depends on:

Buying patterns of end customers
Competitors
Market saturation
Product characteristics

Examples:

- Kirby vacuum cleaner is sold by distributors directly to consumers with in-home demonstrations.
- Difficult-to-move products may be sold through intermediaries.
- Many products are shipped through wholesalers who combine products from many suppliers.

Designing a Distribution Channel

- The theory of channel structure was first developed by Louis P. Bucklin.
- The purpose of the distribution channel is to provide consumers with the desired products and services at minimal cost.
- The best channel structure emerges when no other channel generates higher profits or greater consumer satisfaction per dollar of product cost.
- Channel structure is not static but constantly changing to meet customer demands.
- Consumers ultimately determine the channel structure through their purchasing patterns.

Factors Influencing Distribution Channel Structure

Three factors influence the structure:

1. Market Coverage Objectives

Decisions regarding: Size of specific market areas and Intensity of coverage of geographic regions.

Three alternatives:

- **Intensive Distribution**

Placement in as many outlets as possible.

Example: Tide laundry detergent is available in almost all supermarkets.

- **Selective Distribution**

Placement in a limited number of outlets within a geographic area.

- **Exclusive Distribution**

Placement in only one outlet in each geographic area.

Related to the types of customers the company wants to serve.

Cont…

2. Product Characteristics

- High-value products require shorter supply chains to minimise cost.
- Low-value products require intensive distribution to maximise sales.
- Highly technical products require product demonstration and are better suited for a direct channel.
- Highly perishable products must be delivered quickly due to their short life cycle.

3. Customer Service Objectives

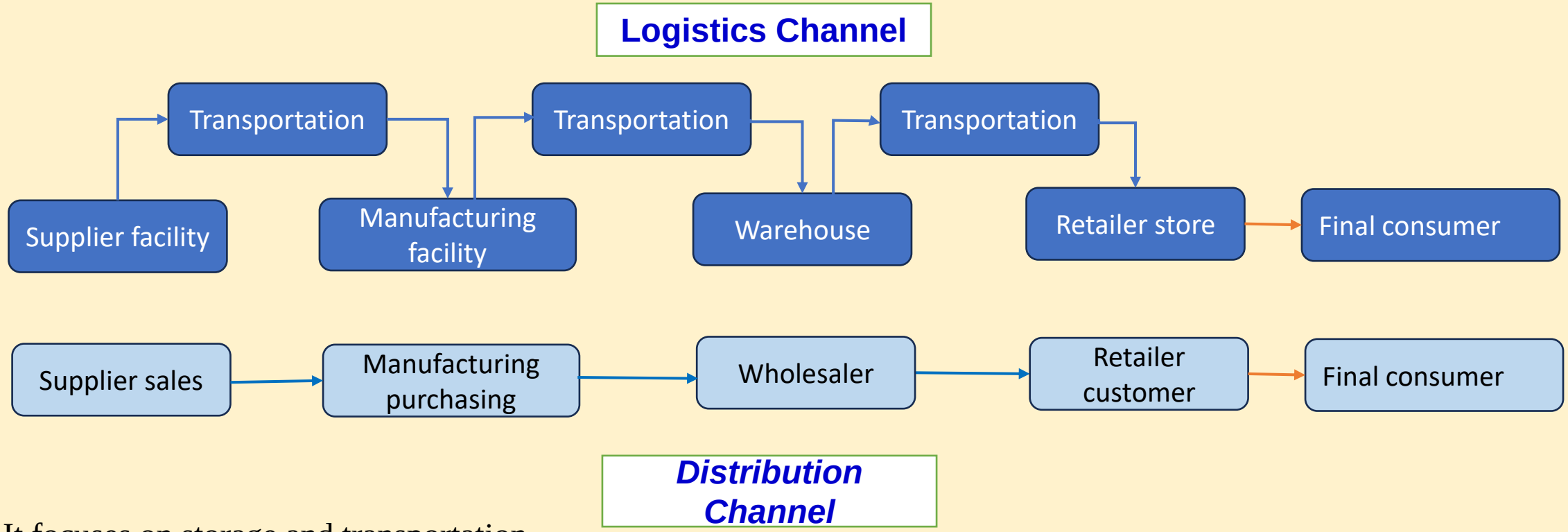
- Customer service is used to differentiate the product or influence the market price.
- The supply chain structure determines the cost of providing a specified level of customer service.
- Distribution channel design should balance customer needs and costs.

Distribution vs Logistics Channel

The distribution channel is different from the logistics channel. Both are interrelated and are part of the supply chain.

1. Logistics Channel: The physical movement of products from where they are available to where they are needed.

Example: Warehouse is part of the logistics channel.



- It focuses on storage and transportation.
- Transportation links all physical locations.
- The emphasis is on moving and storing goods efficiently.

In simple terms: Logistics channel = Physical flow of goods.

2. Distribution Channel: The distribution channel refers to the transactional entities involved in transferring ownership of the product.

Example: A wholesaler is part of the distribution channel.

Note: Successful supply chain management requires proper management and integration of both channel types.

- It includes **dealers, distributors, wholesalers, and retailers**.

A **wholesaler** is part of the distribution channel.

The wholesaler may not physically hold the product but acts as an intermediary between manufacturer and retailer.

Focus is on **buying and selling relationships**, not physical movement.

- In simple terms:

Distribution channel = Flow of ownership and transactions.

The Impact of E-Commerce

The Internet has provided unprecedented access for companies to reach massive numbers of customers worldwide. This reach must be coupled with a suitable distribution network. **E-commerce success depends on integration with existing channels.**

E-Commerce Challenges

Example: Kozmo- Web-based home delivery company founded in 1997. Promised delivery within one hour. Technology enabled rapid growth. However, the company failed because it was unable to coordinate physical distribution with online promises.

Key E-Commerce Distribution Issues

- Shipping small bundles to many customers is very different from shipping in bulk to a retailer.
- Companies must accurately calculate shipping costs.
- E-businesses must modify distribution systems to ship small packages to individual customers.

Example: Barnes & Noble sends merchandise in large quantities to stores.

- Online booksellers must send small packages to individual customers.
- Consolidating shipments lowers transportation costs.

Handling Returns in E-Commerce

- Handling returns is a critical part of the supply chain.
- Online customers have higher return rates.
- Easy returns increase customer satisfaction.
- Retail stores can handle returns at store locations.
- Pure e-businesses must allow customers to mail back merchandise.

Important Point: The easier the return process, the higher the supply chain cost to the company — but customer satisfaction increases.

Platform Economy

Introduction:

- Platforms such as Alibaba, Alphabet, Amazon, Facebook, Netflix, Tencent, and Uber have transformed the way people do business and the very nature of daily life. The economic principles governing these platforms challenge many traditional assumptions about how markets function.
- **Platforms operate by monitoring and managing user interaction and allocating resources in ways determined by the platform operator's goals and mechanisms**.
- In many cases, the platform organises interactions between users while also charging fees or bundling services with other revenue-generating activities.
- For-profit platforms often deliver services while taxing commerce and interaction through fees or commissions**. For example**, Uber manages ride-hailing interactions between drivers and passengers and sets the prices for these transactions.
- Platforms can perform roles that were traditionally carried out by governments or nonprofit organisations. They facilitate decentralised processes such as information sharing, pricing, and service coordination.

Key characteristics include:

- Platforms set rules and prices for interactions among users.
- They often operate as intermediaries between different groups of users.
- They reduce coordination problems and information asymmetry between market participants.
- They may replace traditional market institutions or create entirely new markets.

Platforms can be profit-driven, such as Amazon Marketplace, or non-profit, such as Wikipedia. However, even non-profit platforms aim to maximize the size of their user base within a budget constraint.

1. Objectives of Platforms

- Digital platforms do not always aim only at profit maximisation. Some platforms operate with social or informational objectives.
- **For example,** Wikipedia functions as a non-profit platform that focuses on expanding knowledge rather than generating profits.
- In many cases, digital platforms begin without a clear monetisation strategy. Their initial focus is on building a large user base and creating strong network effects. Once a sufficient number of users join the platform, companies introduce revenue models such as advertising, subscriptions, or service fees.
- For instance, social media platforms first concentrate on attracting users and increasing engagement. Later, they generate revenue through advertisements and premium services.
- Therefore, **the classification of platforms as purely non-profit or profit-oriented can change over time, since their monetisation strategies evolve as the platform grows.**

2. Instruments for Platforms

Platforms can be broadly classified into two categories:

A. Transaction Platforms

These platforms enable actual trade or transactions to occur directly on the platform.

Examples include: Amazon Marketplace, Flipkart, e Bay, Booking.com

These platforms may charge:

- Buyers or sellers' transaction fees
- Commission on sales
- Listing fees

Because transactions occur directly on the platform, it can easily monitor trade activities, which may subject it to different liability regimes.

B. Non-Transaction Platforms

Non-transaction platforms primarily facilitate information exchange rather than direct transactions.

Examples include: Search engines, Advertising platforms and Social media networks

These platforms may monetize their services through:

- Participation fees
- Pay-per-click advertising
- Data-based advertising models

Thus, the pricing instruments used by platforms depend on whether transactions occur directly on the platform or only information exchange takes place.

3. Platform Viewers:

Another way to categorise platforms is by considering the types of audiences they serve.

A. Business-to-Business (B2B) Platforms: These platforms allow businesses to interact with other businesses.

Example: B2B procurement systems and Industrial marketplaces

B. Business-to-Consumer (B2C) Platforms: These platforms connect businesses with consumers.

Examples: Amazon, Alibaba and Flipkart

C. Consumer-to-Consumer (C2C) Platforms: These platforms enable transactions between consumers themselves.

Examples: eBay, Airbnb, Peer-to-peer marketplaces

D. Peer-to-Peer (P2P) Platforms: These platforms support the sharing economy, allowing individuals to exchange goods or services directly.

Examples: Uber, Airbnb, TaskRabbit

3. Platform Features:

Platforms can also be categorized based on their functionality and the role they perform in digital markets.

The increasing importance of these platforms reflects the growing role of digital markets in modern economies.

The major platform types include:

- Computer Hardware and Software Platforms
- Arrangers
- Transaction Platforms
- Peer-to-Peer Marketplaces
- Media and Entertainment Platforms
- Payment Platforms

Each type performs a different function in facilitating user interactions.

Cont…

A. Computer Hardware and Software Platforms:

- These platforms enable **interaction between application developers and users**.
- Examples include: **Computer operating systems, Smartphone operating systems, and Video game consoles**
- Examples of such platforms include: **Android, Linux, Mac OS, PlayStation, Tencent Games**
- They also include **standardised formats** such as: **DVD, MP3, VHS**
- These platforms create ecosystems where developers build applications while users consume them.

B. Arranger:

- **These** platforms assist members of one group in **finding the appropriate match within another group**.
- These platforms mainly facilitate **interaction and coordination between users**.
- Examples include: **Dating platforms** (e.g., Tinder), **MOOC platforms** (Coursera, edX),**Yellow pages directories, Real estate portals and Price comparison engines**
- These platforms reduce **search costs and information asymmetry** between participants.

C. Peer-to-Peer Marketplaces:

- Peer-to-peer platforms facilitate **exchange of goods and services between individuals**.
- These platforms are often associated with the **sharing economy**, where owners of underutilized resources make them available to others.
- Examples include: **Airbnb, Didi, Uber, Xiaozhu, TaskRabbit, Etsy, Eatwith, Grab**
- These platforms enable **efficient utilization of resources** and expand market access for individuals.

Cont…

D. Transaction platforms

It assists buyers and sellers in finding viable contracts and the best prices. While some platforms act as matchmakers, transaction platforms allow transactions to be completed directly on the platform.

- Examples include: Shopping malls, Stock exchanges, Real estate agents, Hotel booking platforms (Booking.com, Expedia, Tuoniu), Food delivery platforms (Zomato, Swiggy, Uber Eats), Online shopping portals (Amazon Marketplace, Flipkart, eBay)
- Other examples include B2B procurement platforms such as: Indiegogo, Kickstarter, LendingClub, Ulule
- These platforms reduce transaction costs and facilitate contract formation between market participants.

E. Platforms for Media and Entertainment

- Media and entertainment platforms provide content to users and audiences.
- Advertising is a common monetization strategy where platforms sell user attention to advertisers.
- Examples include: Traditional media platforms (Newspapers, Radio, Television broadcasters); Digital media platforms (Facebook, LinkedIn, TikTok), and Other examples include online media portals and news aggregators.

F. Payment Platforms

- Payment platforms provide secure methods for completing transactions between buyers and sellers.
- Examples include: Paytm, American Express, MasterCard, PayPal, RuPay, Visa, WeChat Pay, and YouTrip.
- These platforms facilitate digital payments, reduce transaction friction, and enable e-commerce growth.

The Omni-Channel

- The **Omni-Channel** is an approach to sales that seeks to provide customers with a **seamless shopping experience across multiple channels**. These channels may include physical stores, websites, mobile devices, and telephone services.
- It integrates **online and offline shopping experiences**.
- Customers can switch between channels without interruption.
- The aim is to create a **holistic and integrated shopping experience** rather than separate online and in-store experiences.

Thus, omni-channel focuses on **real-time connectivity and a consistent customer experience across all platforms**.

Features of Omni-Channel: In an omni-channel system, customer experiences are **fully integrated between channels on the "back end."**

- Customers can **check product availability online**. They may **purchase products through smartphones or websites**. Products can be **picked up at a chosen retail location**. Store representatives can **instantly access customer purchase history and preferences**. This integration enables all channels to work together, creating a smooth, convenient shopping experience **for customers**.

Example: Nike uses an **omni-channel strategy** by connecting its **mobile app, website, and physical stores**. Customers can browse products online, check store availability through the app, and choose to **buy online and pick up the product in a nearby store**. The customer's purchase history and preferences are also available across all platforms, creating a **smooth and integrated shopping experience**.